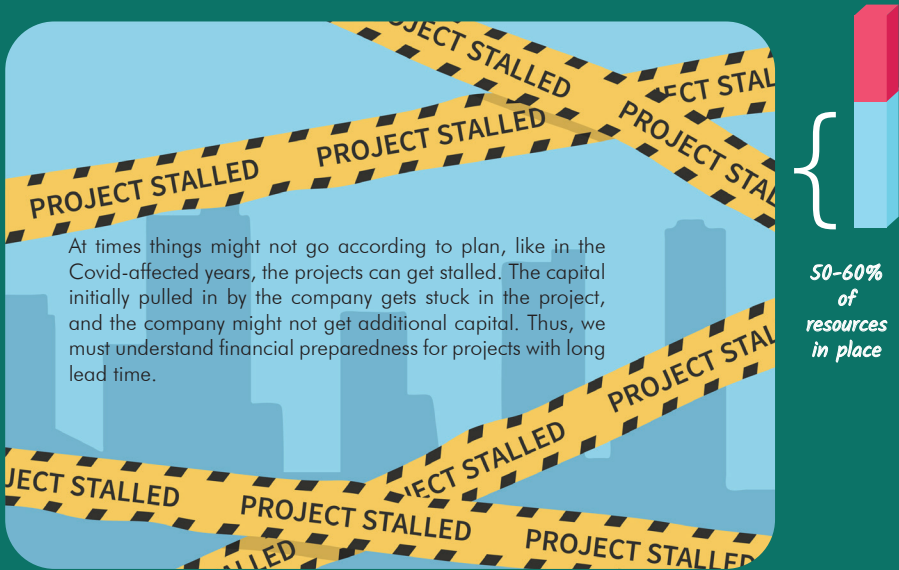


Total capital required for the completion of the project. Adequate provisions for the same?

Some companies start projects with 50-60 percent of resources in place and assume that in the next three years, the money earned will fill up the remaining capital.



The above questions help us understand the Capital Work in Progress, and we need to ask for Intangible Assets/ Intangible Work in Progress as well.

- ◇ What is the segment that is being expanded?
- ◇ Purpose of expansion
- ◇ How large is the expansion as compared to the gross block?
- ◇ Lead time and how it impacts the company's balance sheet and income statement.
- ◇ What's the total capital required for the project? Does the company have it?

For intangibles, the answers might not be that clear. For example, the lead time might be subjective to different assets. However, the questions remain more or less the same. You might not find answers to every question but as analysts, we need to collect whatever possible information and connect the dots. This will give us indicative answers to these questions.

In the next section, we will move to Financial Non-current Assets